IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH
COURT- IV

CP (CAA)-22/ND/2021
Connected with
CA (CAA) -71/(ND)/2020

IN THE MATTER OF SCHEME OF ARRANGEMENT:

BETWEEN

M/s. GDR HOMESTYLES PRIVATE LIMITED
... Transferor No.1/ Petitioner Company No.1

AND

M/s. LEARNING SHADES PRIVATE LIMITED
... Transferor No.2/ Petitioner Company No.2

AND

M/s. HYSON INFOTECH PRIVATE LIMITED
... Transferor No.3 / Petitioner Company No.3

AND

M/s. KSA HOTELS & RESORTS PRIVATE LIMITED
... Transferor No.4/ Petitioner Company No.4

WITH

M/s. GDR HOME FASHIONS PRIVATE LIMITED
... Transferee Company/ Petitioner Company No.5

Order Delivered on: 20.06.2022

Section: 230 to 232 of the Companies Act, 2013

CORAM

SH. DHARMINDER SINGH, HON'BLE MEMBER, (JUDICIAL)

MS. SUMITA PURKAYASTHA, HON'BLE MEMBER (TECHNICAL)

-Sd-

ORDER

PER: SHRI DHARMINDER SINGH, HON'BLE MEMBER (JUDICIAL)

This petition has been filed by the Petitioner Company under Sections 230 and 232 of the Companies Act, 2013 read with the Company (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of approving the scheme arrangement, as contemplated between the Transferor Companies and the Transferee Company. The copy of the scheme has been placed on record.

2. The present petition has been filed jointly by the transferor company No. 1 to 4 and Transferee Company (hereinafter together called "the Petitioner Companies"). It is represented that the registered office of the Petitioner Companies being situated in Delhi, therefore, jurisdiction lies with this Tribunal.

3. The Petitioner Companies submits that the scheme of arrangement would benefit the Petitioner Companies and their respective shareholders and creditors inter alia on the account of the following reason:-

a. Reduction of overheads, administrative, managerial and other expenditure.
b. Optimum and efficient utilization of capital, resources, assets and facilities.
c. Consolidation of business and enhancement of shareholder value.
d. Better management and focus on growing of the businesses.
e. Proposed amalgamation will not in any way affect the service conditions of the employees.
f. Much larger asset base and a net worth with strong financials enabling further growth and development of the said Companies.

4. The appointed date as fixed for the proposed scheme of Amalgamation means the open of business hours on 01.04.2019.

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5. A perusal of the petition discloses that the first motion application bearing CA (CAA) -71/(ND)/2020 was jointly filed by the Petitioner Companies. Based on the averments made in the said application the Tribunal vide order dated 01.12.2020 dispensed the meetings of the equity shareholders, secured creditors and unsecured creditors of the respective Petitioner companies.

6. The petitioner companies vide order dated 01.12.2020 were directed to issue individual notices to the (i) Regional Director, Ministry of Corporate Affairs, (ii) Registrar of Companies, NCT of Delhi and Haryana, (iii) Official Liquidator, Lok Nayak Bhavan, Delhi (iv) concerned income tax department. The Petitioner Companies have jointly filed an affidavit of service in respect of notice of petition to the statutory authorities dated 31.03.2021 in compliance of the order dated 23.02.2021 affirming that notice of the proposed scheme of amalgamation along with all the annexures had been served on the Regional Director, Ministry of Corporate Affairs, Registrar of Companies, NCT of Delhi and Haryana, concerned Income-Tax Department and the Official Liquidator respectively.

7. The Petitioner Companies vide order dated 20.04.2021 were further directed to advertised the notice of final hearing be advertised in the newspapers namely, "Business Standard" (English, Delhi edition) and "Jansatta" (Hindi, Delhi edition). The Petitioner Companies have filed the affidavit in respect of the same in compliance of the order dated 20.04.2021 affirming that notice of hearing was duly advertised in Business Standard (English, Delhi edition) and "Jansatta" (Hindi, Delhi edition) dated 22nd March, 2022.

8. Pursuant to the Publication in the daily newspapers, for listing of the matter before this Bench, no objector has appeared before us.

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9. The reply of the Official Liquidator has been filed. The report of the official liquidator has been filed vide affidavit dated 15.03.2022 stating that on receipt of the notice from the parties, the petitioner companies were requested vide the office letter no. OL/TECH/AMAL/279/1292 dated 22.03.2021 to furnish certain information/records for preparing the report/representation under the relevant provisions of Companies Act. In response to the same the petitioner companies have furnished certain skeleton information on 27.09.2021 but they didn't produce the requisite statutory records. Henceforth, in the absence of such records which were called from the petitioner companies but not received, therefore, they have submitted no comments can be offered by them on the proposed Scheme of Amalgamation/Arrangement nor can state down the state of affairs of these companies.

10. The Income Tax department has not filed its reply. Be that as it may, in order to protect the interest of revenue, it is to be made clear that there shall be no impediment on the power and jurisdiction of the Income Tax Department in recovery of pending Income Tax dues, penalties etc., if any, as provided in the law.

11. The Regional Director, Northern Region has filed reply in the form of two affidavits, firstly on 06.01.2022 and 27.04.2022 in which it was observed that there were huge deviation/miss-management of funds within the petitioner companies as the same was observed by the Statutory Auditor of the Companies, and those have material impact upon the exchange ratio recommended in the scheme and might have financial implications to the National Exchequer since those transactions involves financial irregularities. It was further observed that the intention of the present scheme appears to be done to nullify/close the miss-management of financial transactions as reported by the Statutory Auditors of the Petitioner Companies. In response to the same Applicant Companies vide reply dated 01.04.2022 stated that the Compliance of Section 45-IA of the Reserve Bank of India Act, 1934 could not be done due to the COVID -19 and

the same is not applicable to them. And also the Applicant Companies have filed there amended MGT-7 & 7A.

12. In view of the foregoing, upon considering the approval accorded by the members and creditors of all the petitioner companies to the proposed Scheme, and no objections being raised by the office of the official liquidator, there appears to be no impediment in granting sanction to the Scheme.

13. Consequently, the sanction is hereby granted to the Scheme under sections 230-232 of the Companies Act, 2013 and the Company (Compromises, Arrangements and Amalgamations) Rules, 2016. The sanctioned Scheme of arrangement shall be binding on all the petitioner companies and on all their respective shareholders and creditors.

14. The Petitioner Companies shall also be bound to comply with the statutory requirements in accordance with law. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of both the petitioner companies.

15. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, Statutory dues or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law.

16. This tribunal further order that upon scheme of Arrangement coming into effect;

    a. That Transferor Companies shall stand dissolved without being wound up and without any requirement of any further act or deed by the parties in accordance with the Act;

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b. All the contracts, deeds, bonds, insurance, letters of intent, undertakings, arrangements, policies, agreements and such other instruments entered into with and/ or given by, as the case may be, the various Central/ State Governments, Statutory or regulatory body or agencies or third parties with respect to the Transferor Companies, shall without any further act, deed, matter or thing, stand transferred to and vested in the Transferee Company;

c. All business activities engaged in by the Transferor Companies shall be continued by the Transferee Company under its name;

17. The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Registrar of Companies shall place all documents relating to the transferor companies and registered with them and shall consolidate the files of the companies, is accordingly duly approved and sanctioned in terms of the above.

18. Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

The petition stands disposed of in the above terms.
Let copy of the order be served to the parties.

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(SUMITA PURKAYASTHA)
MEMBER (T)

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(DHARMINDER SINGH)
MEMBER (J)

Pronounced today under Rule 151 of the NCLT Rules, 2016 as the Hon'ble Member (Technical) Ms. Sumita Purkayastha is not holding the court today.

Vishal Rana
20-06-2022
Court Officer